

In September 1938 the debentures could have been bought on the New York Stock Exchange at par when the stock was selling at $24\frac{1}{2}$. At these prices the bonds and stock were selling very close to a parity, and a slight advance in the price of the stock would enable the holder of the bond to sell at a profit. Less than a year later (July 1939) the stock had risen to $31\frac{3}{8}$, and the bonds to $124\frac{3}{4}$.

2. *Chesapeake and Ohio Railway Company Convertible 5s, Due 1946*. These bonds were originally offered to shareholders in June 1916. They were convertible into common stock at 75 until April 1, 1920; at 80 from the latter date until April 1, 1923; at 90 from the latter date until April 1, 1926; and at 100 from the latter date until April 1, 1936.

Late in 1924 they could have been bought on a parity basis (*i.e.*, without payment of a premium for the conversion privilege) at prices close to par. Specifically, they sold on November 28, 1924, at 101 when the stock sold at 91. At that time the company's earnings were showing continued improvement and indicated that the bonds were adequately secured. (Fixed charges were covered twice in 1924.) The value of the conversion privilege was shown by the fact that the stock sold at 131 in the next year, making the bonds worth 145.

3. *Rand Kardex Bureau, Inc., 5 $\frac{1}{2}$ s, Due 1931*. These bonds were originally offered in December 1925 at $99\frac{1}{2}$. They carried stock-purchase warrants (detachable after January 1, 1927) entitling the holder to purchase $22\frac{1}{2}$ shares of Class A common at \$40 per share during 1926, at \$42.50 per share during 1927, at \$45 per share during 1928, at \$47.50 per share during 1929, and at \$50 per share during 1930. (The Class A stock was in reality a participating preferred issue.) The bonds could be turned in at par in payment for the stock purchased under the warrants, a provision that virtually made the bonds convertible into the stock.

The bonds appeared to be adequately secured. The previous exhibit (based on the earnings of the predecessor companies) showed the following coverage for the interest on the new bond issue:

Year	Number of Times Interest Covered
1921 (depression year)	1.7
1922 (depression year)	2.3
1923	6.7
1924	7.2
1925 (9 months)	12.2